notes of various denominations[13] were shredded in the regional offices of Reserve Bank. The face value of the shredded currency notes was around ₹21,750 crore.

The move caused no disruption to the public and was implemented smoothly.

From the history above, it is clear that both of India's experiments with demonetization, in 1946 and 1978, were undertaken for the same major reason as stated by Prime Minister Modi – to tackle black money. Clearly, neither experiment succeeded for the very good reasons pointed out by Governors Deshmukh and I.G. Patel. Regrettably, it appears that these learnings were ignored while making the decision to demonetize once again in 2016.

Experiences of Other Countries Which Demonetized to Curb Corruption

Several countries have tried to use demonetization as a measure to tackle corruption and black money. The Sri Lankan experiment has been mentioned earlier. The experiences, of other countries, as briefly outlined below, have been uniformly unsuccessful, just as India's past demonetizations were.

Ghana[14]

After it gained independence in 1958, Ghana moved from currency issued by the West African Currency Board (WACB) to the Ghana pounds, shillings and pence. In 1965, Ghana adopted the decimal system, and introduced Cedi notes and Pesewa coins. The name 'Cedi' was derived from the word 'sedie' meaning cowrie, the shell money which was in wide circulation till the nineteenth century. The 'Pesewa', very similar in sound to our paisa, replaced the Ghana pence.

In late January 1982, the Ghanaian government demonetized the 50 cedi note. The official reasons stated were: To mop up excess liquidity in the system; to ease inflationary pressures; to crack down